

## FEDERAL MARITIME COMMISSION

BALTIC AUTO SHIPPING, INC.

*Complainant,*

v.

MICHAEL HITRINOV a/k/a  
MICHAEL KHITRINOV, EMPIRE  
UNITED LINES CO., INC.

*Respondents.*

Docket No. 14-16

Served: October 25, 2017

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**BY THE COMMISSION:** Michael A. KHOURI, *Acting Chairman*; Rebecca F. DYE, William P. DOYLE, Daniel B. MAFFEI, *Commissioners*.

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### **Order Denying Petition for Attorney Fees**

In the underlying complaint proceeding, Baltic Auto Shipping, Inc. (Baltic) alleged that Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) and Empire United Lines Co. Inc., an NVOCC (collectively Respondents) committed various violations of the Shipping Act of 1984 (Shipping Act or Act). Complainant alleged violations of 46 U.S.C. §§ 40501(a), 41102(a), 41102(c), 41104(2)(a), 41104(4)(a), and 41104(8).

The Administrative Law Judge (ALJ) subsequently dismissed the proceeding and Complainant filed exceptions. Complainant then filed a motion to withdraw its exceptions and to discontinue the action, which Respondents contested in part. The Commission granted Complainant's motion in part and dismissed the proceeding with prejudice; it denied, however, the request to extinguish the ability of either party to seek attorney fees.

Following the dismissal, Respondent petitioned the Commission for attorney fees and Complainant requested, and was granted, an extension to file a reply. Complainant then requested another extension (which was denied administratively), a stay of the proceedings, a request for an evidentiary hearing, confidentiality for Complainant's reply to Respondents' petition regarding attorney fees, a correction of the record, and that Respondents' reply to the motion for a stay be struck.

The Commission denies Complainant's request for a stay; denies Complainant's request to strike the Respondents' reply to Complainant's motion for a stay; denies Complainant's request for an evidentiary hearing; denies Complainant's motion for confidentiality; and grants Complainant's request to correct the record. The Commission also denies the Respondents' request for attorney fees.

## **I. BACKGROUND**

On November 28, 2014, Complainant, a licensed non-vessel-operating common carrier (NVOCC), filed a Complaint alleging that Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) and Empire United Lines Co. Inc., a licensed NVOCC (collectively Respondents) committed various violations of the Shipping Act of 1984 (Shipping Act or Act). On January 9, 2015, Complainant filed an amended complaint (Complaint) alleging violations of 46 U.S.C. §§ 4050l(a) (failing to keep tariffs open to public inspection), 41102(a) (obtaining transportation at less than applicable rates), 41102(c) (failing to

establish, observe, and enforce just and reasonable regulations and practices), 41104(2)(a) (providing service not in accordance with rates), 41104(4)(a) (engaging in an unfair or unjustly discriminatory practice), and 41104(8) (giving an undue or unreasonable preference or imposing any undue or unreasonable disadvantage).

Respondents filed a motion for Partial Summary Decision, and on September 15, 2015, the ALJ issued an Initial Decision granting the motion on statute of limitations grounds. *Baltic Auto Shipping Inc. v. Hitrinov*, 33 S.R.R. 1238, 1244 (ALJ 2015). Accordingly, the ALJ dismissed the proceeding. *Id.* at 1245.<sup>1</sup> Complainant filed Exceptions on January 15, 2016, and Respondents filed a response on March 3, 2016.

Before the Commission could rule on the exceptions, however, Complainant informed the Commission via email on April 27, 2016, that “all claims and counterclaims in this matter have been resolved to the mutual satisfaction of the parties.” Furthermore, Complainant advised that it would be withdrawing its Exceptions to the ALJ’s Initial Decision and requested that the Commission stay all activity pending a settlement agreement between the parties, to be delivered within 60 days of the date of the letter. On May 27, 2016, Complainant advised the Commission’s Office of the Secretary (OS) that Complainant had filed a Settlement Agreement in an unrelated matter before the U.S. District Court for the District of New Jersey, was awaiting a countersigned copy by the Respondents, and upon receipt would file a formal notice of withdrawal in the Commission case. On August 8, 2016, after receiving no notice of withdrawal or settlement agreement between the parties, the Commission ordered

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<sup>1</sup> The ALJ also determined that, although a 2011 Settlement Agreement and Mutual Release in the U.S. District Court for the District of New Jersey did “not prevent the Commission from deciding whether Empire violated the Act, the release in the 2011 Settlement does prevent Baltic from receiving a reparations award for any actual injuries that it now claims it suffered as a result of the violations.” *Baltic*, 33 S.R.R. at 1270.

the parties to file a joint status report. *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 207, 207 (FMC 2016).

On August 15, 2016, Complainant filed a Motion to Withdraw Appeal and Discontinue Action (“Motion to Withdraw”) and a status report. Complainant argued that the Presiding Officer, per Rule 72 of the Commission’s Rules of Practice and Procedure, should dismiss the action. Mot. to Withdraw at 3-4. The same day, Respondents submitted a separate status report stating that they would not agree to the joint stipulation to withdraw the appeal. Respondents stated that Complainant had not explained why a joint stipulation was necessary. Status Report at 1-2. Also, Respondents did not agree with the language in the stipulation that states: “this matter shall be discontinued with prejudice, and without costs, attorneys’ fees or disbursements to either party as against each other.” *Id.*

On August 30, 2016, Respondents filed a response in opposition to Complainant’s request to discontinue the action. In their response, Respondents consented to Complainant’s withdrawal of its Exceptions, but argued that per Commission Rule 72 “only upon a stipulation of the parties” could the matter be discontinued. Opposition to Discontinuance at 2. As they would not consent to dismissal of the proceeding in its entirety, Respondents argued that the initial decision should become the decision of the Commission. *Id.* Respondents further argued that the award of attorney fees is mandated at this stage of the proceeding. *Id.* at 3.

On September 2, 2016, Complainant submitted a reply in support of its motion to withdraw/discontinue. In its reply, Complainant argued that by agreeing to the withdrawal of the appeal on the record in the New Jersey court action, and by drafting a Settlement Agreement that released the parties’ liability for attorney fees, Respondent waived all claims for attorney fees. Reply on Respondents’ Mot. at 3-4. In support, Complainant attached an appendix containing a transcript from the New Jersey district court

proceeding and an unsigned settlement agreement. Complainant also filed a Motion for Confidential Treatment, in which Complainant argued, pursuant to Commission Rule 201, that an Order should be granted affording confidential treatment for its Reply on Respondents' Motion, and the attached appendix. Mot. for Confidential Treatment at 1. Although Complainant filed these documents with the Commission, it served Respondents with a redacted version of the reply brief, and it did not serve the appendix on Respondents.

On September 16, 2016, Respondents submitted a Response to Complainant's Seriatim Motions of September 2, 2016, wherein Respondents argued that Complainant was seeking a remedy for breach of contract, which is not within the Commission's jurisdiction. Respondents also argued that the Complainant's motion requesting confidentiality failed to satisfy the requirements of 46 C.F.R. § 502.5(b). See Resp. to Complainant's Seriatim Mots. of September 2, 2016, at 3-4. Respondents further argued that Complainant's failure to provide Respondents with the appendix and an un-redacted version of the reply violated the Respondents' due process rights and was an ex parte communication.<sup>2</sup> *Id.* at 5-6.

On September 20, 2016, Complainant filed a Response to Respondents' Unauthorized Sur-Reply. Complainant objected to Respondents' September 16, 2016, response brief, characterizing it as a sur-reply filed without leave of the Commission. Resp. to

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<sup>2</sup> Respondents also stated that a breach of a settlement agreement in New Jersey Federal Court does not provide a basis for a claim under the Shipping Act and, therefore, Complainant's "claim" for such breach is not within the Commission's authority. See Resp. to Complainant's Seriatim Mots. of September 2, 2016 at 3- 4. Complainant did not argue that the breach of the agreement in New Jersey Federal Court was a breach of the Shipping Act. Complainant argued that the agreement in New Jersey Federal Court is evidence, though indirect in nature, of fraud upon the Commission by Respondents and evidence of a prior agreement by the parties to dismiss the action in its entirety including attorney fees. See Reply on Resp'ts' Mot. at 3-4.

Resp'ts' Unauthorized Sur-Reply at 1-2. Furthermore, Complainant argued that as Respondent was in possession of an un-redacted version of the settlement agreement, Respondents' attorney's argument that he should be served a copy was fraudulent. *Id.* at 3.

On January 5, 2017, the Commission ordered Complainant to provide Respondents with an un-redacted version of its reply in support of its motion to withdraw/discontinue, the transcript of the U.S. District Court proceeding, and the Settlement Agreement. *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 406, 411 (FMC 2017). The Commission corrected Respondents' misinterpretation of Commission regulations on dismissal and attorney fees. *Id.* The Commission also granted the request for confidentiality with regards to disclosure to the public. *Id.* at 409-10. Complainant subsequently complied with the Commission's order. On February 16, 2017, in light of the newly received appendix and un-redacted reply, Respondents filed a Sur-Reply Memorandum. On March 12, 2017, Complainant filed a Motion to Strike Respondents' Unauthorized Sur-Reply of February 16, 2017.

On April 21, 2017 the Commission granted the request for withdrawal and dismissal of the action in its entirety, with prejudice, in part, pursuant to 46 C.F.R. § 502.72(a)(3). *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 668, 675 (FMC 2017). The Commission, however, denied the request to extinguish the ability of either party to seek attorney fees. *Id.* at 674.

Subsequently, on July 19, 2017, Respondents filed a timely petition for attorney fees. On August 4, 2017, Complainant filed a motion for an extension of time to respond to the petition for attorney fees. On August 4, 2017, Respondents opposed the motion and the Commission granted an extension until August 22, 2017. On August 16, Complainant filed a second motion for an extension of time and a request for a stay. The request for an extension was denied on August 17, 2017. On August 22, 2017, the Complainant filed a reply to the petition for attorney fees, a request for an evidentiary hearing,

a motion for confidential treatment, and a certification of Complainant's counsel, Marcus A. Nussbaum. Also, on August 22, 2017, Respondents filed a motion opposing Complainant's request for a stay. On August 29, 2017, Respondents filed a reply in Opposition to Complainant's request for an evidentiary hearing and a reply in Opposition to Complainant's motion for confidential treatment. On August 31, 2017, Complainant filed a status report and appendix, a motion to correct the record (and other relief) and appendix. On September 7, 2017, Respondents filed a reply in Opposition to Complainant's motion for other relief. On September 14, 2017, Complainant filed another status report and an appendix.

## II. DISCUSSION

Before making a determination on Respondents' fee petition, we address Complainant's numerous outstanding motions. Complainant has petitioned for a stay, confidentiality for Complainant's reply to Respondents' petition regarding attorney fees, an evidentiary hearing, and a correction of the record.<sup>3</sup>

### A. Request for Stay

Complainant argues that a stay should be granted so that, through the use of a subpoena,<sup>4</sup> Complainant may procure evidence from the Special Master in a New Jersey Federal Court case that will demonstrate: (1) Respondents have committed a fraud upon the Commission; and (2) Respondents waived the right to attorney fees through a settlement agreement. Complainant's Mot. for Stay at 1-2.

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<sup>3</sup> Complainant also requested that the Commission strike Respondents' reply to Complainant's motion for a stay, which we discuss *infra* in the section addressing the motion for a stay.

<sup>4</sup> Although Complainant has yet to file its request for a subpoena, the Commission also is deeply skeptical over the propriety of subpoenaing the Special Master in this matter.

As an initial matter, Complainant argues that Respondents' August 22, 2017, reply in opposition to the motion for a stay was actually a sur-reply and should be stricken. Complainant's Mot. to Correct the Record and for Other Relief (Motion to Correct) at 5. Under 46 C.F.R. § 502.71(c), a party may not file a sur-reply unless requested by the Commission or upon "a showing of extraordinary circumstances." 46 C.F.R. § 502.71(c). Complainant also argues that "it is offered without leave of the Commission and contains material that is 'redundant, immaterial, impertinent, or scandalous.' F.R.C.P. 12(f)." Complainant's Motion to Correct at 4. The Commission does not find that Respondents' reply violates Federal Rule of Civil Procedure (F.R.C.P) 12(f).

In the reply, Respondents argue that the motion for a stay should be denied because (a) Complainant failed to confer with Respondents pertaining to the stay; (b) Complainant is seeking delay without justification; (c) Complainant is seeking to harass a United States District Court Judge<sup>5</sup>; and (d) Complainant is seeking to re-litigate the Commission's April 21 order dismissing the proceeding. Reply to Req. for Stay at 6-9. "[T]he Commission has repeatedly manifested a desire to see parties afforded an opportunity to respond to new matters and to treat both parties fairly – while not allowing a sur-reply merely to rebut previous arguments." *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 668, 672 (FMC 2017). See, e.g., *NRDC v. EPA*, 25 F.3d 1063, 1071 n.4 (D.C. Cir. 1994) ("We require petitioners . . . to provide opposing counsel the chance to respond."); *Ocean Common Carrier Status of Shanghai Hai Hua Shipping Co., Ltd. (HASCO) and SNL/HASCO Cross Space Charter and Sailing Agreement: FMC Agreement No. 011807*, 29 S.R.R. 1231, 1236, (FMC 2003) (reply allowed "to ensure a full airing of the parties' views."). But see *Carolina Marine Handling, Inc. v. South Carolina State Ports Auth.*, 30 S.R.R. 1243, 1245 (FMC 2006) (denying leave

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<sup>5</sup> Despite Respondents referring to a "United States District Court Judge" it is the Commission's understanding that Respondents are actually referring to a former United States District Court Judge, who in this matter acted as a Special Master.

to file a reply memorandum because petitioners were merely seeking to rebut arguments in complainant's reply.)

Contrary to Complainant's assertions, Respondents have not responded to Complainant's request for a stay by way of a sur-reply to rebut arguments raised in Complainant's reply to the attorney fee petition. Rather, Respondents' arguments in opposition to the stay directly address the issue of whether the stay is justified or not, along with an additional argument that the motion to stay is procedurally defective because Complainant failed to confer. Therefore, the motion to strike the reply is denied.

Moving on to the merits of the Complainant's request for a stay, the Commission finds that the request should be denied because: (a) the Commission has already addressed and denied the same arguments by Complainant; (b) even if Complainant was to prove what it alleges, it would not remove the Commission's authority to award attorney fees; and (c) at this late stage in the proceedings, a stay would harm Respondents and be a poor display of judicial economy.

As Justice Cardozo articulated in *Landis v. N. Am. Co.*, 299 U.S. 248, 254 (1936), the power to stay "is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants." Decisions must "weigh competing interests and maintain an even balance." *Id.* Initially though, the party requesting the stay must "make out a clear case of hardship or inequity in being required to go forward, if there is even a fair possibility that the stay for which he prays will work damage to someone else." *Id.* at 255.

The Commission has the authority to grant or deny a stay, but "the party seeking a stay has the burden to demonstrate the need for the stay." *General Motors LLC v. Nippon Yusen Kabushiki Kaisha*, 34 S.R.R. 7, 8 (ALJ 2016). In *Exclusive Tug Arrangements in Port Canaveral, Florida*, 29 S.R.R. 1020, 1022 (FMC 2002), the

Commission denied a motion to stay out of concern that for the non-moving party, “the costs of participating in this proceeding are considerable and increase each time a deadline is extended.” The Commission realized that because the moving party did not establish it was likely to suffer harm from a denial of the stay, and all parties and the public would benefit from an expeditious resolution, denial of the stay was appropriate. *Id.* at 1022. *See also Ovchinnikov v. Hitrinov*, 34 S.R.R. 124 (ALJ 2016) (denying motion for stay).

On April 21, 2017, the Commission denied the Complainant’s request to extinguish the ability of either party to seek attorney fees. Specifically, the Commission stated, “with respect to the part of Complainant’s motion requesting that the Commission extinguish the ability of either party to seek attorney fees, the Commission denies this request.” *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 668, 674 (FMC 2017).

The Commission also determined that there was no settlement agreement waiving the right of either party to attorney fees. The Commission stated: “Nevertheless, although the parties both manifested a willingness to consider a full settlement, the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly decided that settlement is in their best interest. Despite a Commission policy favoring settlement, there are not sufficient grounds to dismiss the action as a joint stipulation or settlement.” *Id.* at 673. Furthermore, the Commission addressed the Complainant’s argument of bad faith (i.e., fraud). The Commission stated, “there does not appear to be any Commission precedent on dismissing an action because one party refuses to agree to a settlement or to support a finding of bad faith in this regard.” *Id.* at 674 n.10.

Complainant neither requested reconsideration of the Commission’s decision nor sought appellate review.<sup>6</sup> The

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<sup>6</sup> Final Commission orders must be appealed within 60 days of issuance. *See* 28

Commission will not grant a stay in order to allow Complainant time to re-litigate an issue that has been decided. The Commission has already denied Complainant's argument.

In addition, the Commission has statutory authority to grant attorney fees. *See* 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254. No evidence that the Complainant can produce will remove that authority. Moreover, at this late stage in the proceeding, the already substantial costs and delay for Respondents in resolving the matter would only be needlessly augmented should the stay be granted. Respondents would suffer harm by way of added delay and unnecessary expense. The Commission and shipping public would also benefit from an expeditious resolution.

Accordingly, the Commission denies the request for a stay.<sup>7</sup>

**B. Request for Confidentiality for Reply to Respondents' Petition Regarding Attorney Fees; Request to Correct the Record; Request for an Evidentiary Hearing.**

*1. Motion for Confidential Treatment*

Complainant requests confidential treatment of its Reply to Respondents' Petition Regarding Attorney Fees, Request for an Evidentiary Hearing, and the Certification of Marcus A. Nussbaum. August 22, 2017 Mot. for Confidential Treatment at 1. Complainant's basis is that the settlement agreement referenced in the documents contains a confidentiality clause that prohibits disclosure of the agreement and terms to the public. *Id.* at 2. Previously the Commission granted Complainant's September 2, 2016, Motion for Confidential Treatment with regards to *public*

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U.S.C. §§ 2342; 2344.

<sup>7</sup> In addition to denying the motion, we note that given our denial of Respondents' attorney fee petition, the motion for a stay is moot.

*disclosure* of the settlement agreement and a transcript of a U.S. District Court proceeding. *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 406, 409 (FMC 2017).

Parties may request confidential treatment for materials submitted to the Commission. 46 C.F.R. § 502.5. The “motion must identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.201(j)(1)(vii).” § 502.5(b). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” See *AI Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68 (ALJ Dec. 14, 2000). In this case, however, only Complainant requests confidential treatment. In fact, the Respondents are opposed to the granting of the request.<sup>8</sup> See Resp’ts’ Opp’n to Complainant’s Mot. for Confidential Treatment. Respondents argue that no proper basis has been established by Complainant under 46 C.F.R. § 502.5(b). *Id.* at 4-5. The Commission concurs. Complainant relies solely on the confidentiality clause in one of the documents and the Commission’s previous decision granting confidentiality.<sup>9</sup>

Respondents argue that there was never an agreement to maintain confidentiality, nor was there an order mandating confidentiality. *Id.* at 2-5. Once again, the Commission concurs. When the Commission initially granted Complainant’s request for

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<sup>8</sup> The Commission has generally held that it will grant confidentiality when both parties agree.

<sup>9</sup> Settlement agreements, and drafts thereof, resulting from settlement negotiations typically are styled by the parties as confidential and inadmissible. It is unknown to the Commission whether the purported settlement agreement itself was negotiated confidentially between the parties, thus we do not reach or resolve the expectation of settlement negotiation confidentiality today.

Confidentiality in part, Complainant had failed to provide Respondents with un-redacted versions of the settlement agreement and court transcript at issue. The Commission granted confidentiality “in light of . . . the terms of the *possible* and proposed settlement.” *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 406, 409-10 (FMC 2017) (emphasis added). The Commission had not yet made a ruling on whether an agreement existed between the parties. That is no longer the case. The Commission subsequently determined that there was no settlement agreement, stating, “the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly decided that settlement is in their best interest.” *See Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 668, 674 (FMC 2017). As Complainant has, therefore, not established any basis for confidentiality by way of an agreement between the parties, or under the Commission’s rules, the request is denied.

## 2. Motion to Correct the Record

Complainant requests to have the record corrected with respect to the Commission’s Notice of August 17, 2017, denying an extension of time.<sup>10</sup> The notice states that “[o]n August 16, 2017, Complainant filed its Second Motion for an Extension of Time.” Complainant has provided an email in appendix “1” of Complainant’s Motion to Correct the Record and for Other Relief (Motion to Correct) which demonstrates that the motion was filed on August 15, 2017. The Commission’s docket also demonstrates the motion was filed on August 15, 2017. The Commission recognizes that the correct date of the filing of the second motion for an extension of time is August 15, 2017.

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<sup>10</sup> Complainant does not explain the import of the request to correct the date of the notice. In denying the Complainant’s second request for extension, the Commission did not find the request to be untimely. Someone reading this opinion may be left wondering why the Complainant spent the resources of the parties and the Commission in requesting to correct the record on this issue. That reader would be in good company.

Complainant also filed a “Status Report” on September 14, 2017, which responds to arguments made in Respondents’ September 7 Opposition to Complainant’s Motion to Correct the Record and for Other Relief. Commission Rule 71 prohibits a moving party from filing a reply to a response to a non-dispositive motion unless requested by the Commission or upon a showing of extraordinary circumstances. 46 C.F.R. § 502.71(c). Complainant neither received leave to respond to Respondents’ opposition to its motion nor did it allege extraordinary circumstances. Accordingly, the Commission is striking Complainant’s September 14, 2017 Status Report and accompanying appendix.

### *3. Motion for Evidentiary Hearing*

Complainant requests that an evidentiary hearing pursuant to Commission Rule 254(g) be granted “in order to prevent the perpetration of an outright fraud against the Commission and complainant alike.” Reply to Respondents’ Petition regarding Attorney Fees at 36. The basis of the argument for fraud is that there exists a valid settlement agreement between the parties, Respondents have waived their right to attorney fees, and yet still are seeking attorney fees. *Id.* at 37. Complainant requests a hearing in order to potentially subpoena a former Federal Judge to prove the existence of the agreement and waiver. *Id.* The Commission, however, has already determined that there was no settlement agreement nor a waiver. *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 668, 673 (FMC 2017). Complainant is, therefore, requesting a hearing on an issue that the Commission has already ruled on, and which Complainant did not appeal. Commission Rule 254 states that a hearing is appropriate where there is “a substantial dispute of facts.” 46 C.F.R. § 502.254(g). As there is no substantial dispute of facts, but to the contrary, a final Commission ruling on the very issue Complainant is requesting a hearing on, the request for a hearing is

denied.<sup>11</sup>

### **C. Respondents' Request for Attorney Fees**

This matter raises two primary issues relating to attorney fees: (1) Respondents' eligibility for attorney fees; and (2) Respondents' entitlement to attorney fees. The Commission finds that Respondents are eligible for attorney fees because they are prevailing parties; the Commission also finds, however, that Respondents are not entitled to attorney fees in light of the considerations relevant in deciding if attorney fees should be awarded.

#### *1. Burden of Proof*

"[T]he applicant for an award of attorney fees bears the burden of establishing entitlement to an award, documenting the appropriate hours, and justifying the reasonableness of the rates." *See Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, 33 S.R.R. 1311, 1315 (ALJ 2015) (citing *Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984)).

#### *2. Eligibility for Attorney Fees*

"In any complaint proceeding brought under 46 U.S.C. § 41301 (sections 11(a)-(b) of the Shipping Act of 1984), the Commission may, upon petition, award the prevailing party reasonable attorney fees." 46 C.F.R. § 502.254(a) (2016). "The term 'prevailing party' . . . is a 'legal term of art,' and is interpreted . . . consistently' – that is, without distinctions based on the particular statutory context in which it appears." Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10511 (Mar. 1, 2016) (citing *Smyth v. Rivero*, 282 F.3d 268, 274 (4th Cir. 2002) (citations omitted)). Furthermore "[t]he

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<sup>11</sup> In addition to denying the motion, we note that given our denial of Respondents' attorney fee petition, the motion for a stay is moot.

touchstone of the prevailing party inquiry” is “the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.” 81 Fed. Reg. at 10512 citing *Tex. State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989). As recently clarified by the Supreme Court, “[a] defendant seeks to prevent [a material alteration in the legal relationship between the parties] to the extent it is in the plaintiff’s favor. . . . The defendant has . . . fulfilled its primary objective whenever the plaintiff’s challenge is rebuffed.” *CRST Van Expedited, Inc. v. EEOC*, 136 S. Ct. 1642, 1651 (2016). We apply the same test in Commission proceedings.

In response to a motion from Complainant, the Commission dismissed the proceeding with prejudice under Commission Rule 72(a)(3), which permits the Commission to dismiss an action at a complainant’s request on terms the Commission considers proper. See *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 668, 675 (FMC 2017); 46 C.F.R. § 502.72(a)(3). A respondent prevails when the complainant’s challenge is rebuffed “irrespective of the precise reason for the court’s decision.” *CRST Van Expedited, Inc.*, 136 S. Ct. at 1651. A respondent “need not obtain a favorable judgment on the merits in order to be a ‘prevailing party.’” The respondent “may prevail even if the court’s final judgment rejects the [complainant’s] claim for a nonmerits reason.” *Id.* This includes cases, like this one, in which the proceeding was dismissed by the Commission with prejudice in response to a request from the complainant. See *Carter v. Inc. Vill. of Ocean Beach*, 759 F.3d 159, 165-66 (2d Cir. 2014) (concluding that the voluntary dismissal of an action with prejudice works a material alteration of the legal relationship between parties because any action so dismissed cannot be brought again); *Claiborne v. Wisdom*, 414 F.3d 715, 719 (7th Cir. 2005) (finding that voluntary dismissal with prejudice “effects a material alteration of [plaintiff’s] legal relationship with the other parties, because it terminates any claims she may have had against them arising out of this set of operative facts).

Based on the foregoing, we find Respondents to be the prevailing parties in the underlying complaint proceeding.

### 3. *Entitlement to Attorney Fees*

As the Commission has determined that Respondents are eligible for attorney fees as prevailing parties, the next step is to determine whether Respondents *should* recover attorney fees. “[P]rimary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes.” 81 Fed. Reg. at 10509.

The Commission has cited several factors as providing a “useful guide” in determining whether a party is entitled to attorney fees: frivolousness, objective unreasonableness (in the factual and in the legal components of a case), motivation, and the requirement in certain circumstances to promote considerations of deterrence and compensation. *Edaf*, 34 S.R.R. at 445 (citing *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994)). The Commission has also stated that “parties should be encouraged to litigate meritorious claims and defenses.” *Adenariwo v. BDP Int’l*, 34 S.R.R. 771, 773 (FMC 2017) (citing 81 Fed. Reg. at 10515).

*Edaf* is the only case with a prevailing respondent decided under the recently enacted attorney-fee provision at § 41305(e). In that case, the Commission found that “the [c]omplainant failed to substantiate the legal and factual components of its case, knowingly disregarded the ALJ’s orders on numerous occasions, abandoned its claim, forced multiple [r]espondents to expend significant resources of both time and money in their defense and, perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the [r]espondents.” *Id.* The Commission found “that deterring complainants from failing to prosecute their claims by

awarding respondents attorney fees furthers the purposes of the Shipping Act.” *Id.*

In the case at hand, no one argues that Complainant has failed to prosecute its claims. Unlike in *Edaf*, where a lack of responsiveness was the main impetus for the extra time and expense generated for respondents and Commission alike, in this matter the Complainant has vigorously litigated its claims.

Moreover, consideration of the various factors discussed in *Edaf* do not support an award of attorney fees. In this case, the ALJ dismissed the claim on statute-of-limitations grounds. As Complainant correctly argues, however, the actual merits as to whether or not the Respondents violated the Shipping Act were not ruled on by the Commission. See Complainant’s Reply to Resp’ts’ Pet. at 21-22. Therefore, there is no basis to adequately characterize the complaint as frivolous with regards to the ALJ’s findings pertaining to violations of the Shipping Act. Respondents contend, however, that because the claim was time barred, with no basis in the factual record to support an argument that it was not time barred, it was frivolous, and that deterring complainants from prosecuting frivolous claims by awarding fees would further the purposes of the Shipping Act. See Resp’ts’ Pet. for Attorney Fees at 16-18.

The Commission does not agree with Respondents’ arguments that Complainant’s claim was frivolous. The claim does not appear to be objectively unreasonable. Complainant argued that the shipments fell within the statute of limitations. Complainant argued that Respondents released Complainant’s cargo to a third party without informing Complainant and thereby violated sections 10(d)(1) and 10(b)(3) of the Shipping Act. See Complainant’s Reply to Resp’ts’ Pet. At 26-27. Furthermore, Complainant argued that, per the “discovery rule,” as Complainant only became aware of the violations on January 5, 2012, the claim (originally submitted on November 28, 2014) was within the three year statute of limitations. *Id.* at 27. Complainant cited *Inlet Fish Prod, Inc. v. Sea-Land Serv.*,

*Inc.*, 29 S.R.R. 306, 314 (FMC 2001) as authority for the “discovery rule.” See Complainant’s Br. in Opp’n to Resp’ts’ Mot. for Partial Summary Decision at 21. Complainant also argued that the other Shipping Act violations alleged in the Complaint were timely based on a theory of “continuing injury” wherein “each time a party is injured by an act of another, a new cause of action accrues to recover damage caused by that act, and with regards to such damages, the statute of limitations runs from the commission of the new (continuing) act.” See *Id.* Complainant cited *Seatrains Gitmo, Inc. v. Puerto Rico Mar. Shipping Auth.*, 18 S.R.R. 1079 (ALJ 1979) as support for the “continuing injury” theory. See *id.* Complainant correctly cites *Corwin v. Walt Disney World Co.*, No. 6:02CV1377ORL19KRS, 2008 WL 754697, at \*5 (M.D. Fla. Mar. 18, 2008)<sup>12</sup> and *Garnier v. Andin Int’l, Inc.*, 884 F. Supp. 58, 62 (D.R.I. 1995) for the general proposition that the fact that a claim was not successful does not automatically mean that it was objectively unreasonable. See Complainant’s Reply to Resp’ts’ Pet. at 33.

In *Corwin*, plaintiff’s claims were found to be objectively unreasonable because of a lack of evidentiary support. *Corwin*, 2008 U.S. Dist. LEXIS 112545, at \*33-34. In *Garnier* the court found that the plaintiff “premised its actions on an erroneous view of the law,” but “hindsight” was not the standard for judging reasonableness. *Garnier*, 884 F. Supp. at 62. The court did not find unreasonableness as it believed the law in question was debatable. *Id.* In this matter, Complainant has provided evidentiary support for its arguments by way of sworn certifications, and various other documentation. See Complainant’s Br. in Opp’n to Resp’ts’ Mot. for Partial Summ. Decision at 21-28; See also Complainant’s Reply to Resp’ts’ Pet. at 22-28. Moreover, as explained above, though in “hindsight” Complainant’s arguments may have been erroneous, they were,

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<sup>12</sup>The Lexis cite is *Corwin v. Walt Disney World Co.*, No. 6:02CV1377ORL19KRS, 2008 U.S. Dist. LEXIS 112545, at \*13-14 (M.D. Fla. Feb. 15, 2008).

nevertheless, based on several plausible interpretations of the law as cited to by the Complainant. *See Id.*

Moreover, as Complainant argues, a mistake with regards to the limitations period, based on a “colorable” legal argument, does not necessarily constitute an objectively unreasonable argument. *See* Complainant’s Reply to Resp’ts’ Petition at 33-35 (citing *Dow Chemical Pacific Ltd. v. Rascator Maritime S.A.*, 782 F.2d 329, 344 (2d Cir. 1986) (describing the colorability threshold pertaining to “bad faith” as a basis for attorney fees as “whether a reasonable attorney could have concluded that facts supporting the claim *might be established*, not whether such facts actually *had been established*”) (emphasis in original) (internal quotations omitted)). In this matter, we find that Complainant had a colorable argument that its claims arose within the statute of limitations and that the claim was not objectively unreasonable.

Respondents further argue that the claim was frivolous for a variety of other reasons, including: 1) Complainant threatened sanctions by the Commission and engaged in extensive discovery requests; 2) the ALJ advised the Complainant of the Coble Act, under which Respondents could be awarded attorney fees as prevailing parties, and yet they did not withdraw the claim; 3) Complainant fraudulently prepared an audit; 4) Complainant withdrew its exceptions because of the threat of being sanctioned in an outside enforcement proceeding; and 5) Complainant could have saved Respondents expense by withdrawing. *See* Resp’ts’ Pet. for Attorney Fees at 16-19. None of these arguments substantiate that the claim was frivolous. The Commission made no determination as to why Complainant requested dismissal, or that there was any fraud on the part of any party. Moreover, Complainant’s cognizance of the Coble Act is not grounds to argue they should have withdrawn the claim. In fact, a “chilling effect” from the Coble Act is something the Commission seeks to avoid. *See Edaf*, 34 S.R.R. at 450. Regarding the extensive discovery requests, time, expense, and threatened calls for Commission sanctions Respondents refer to, Respondents have

not demonstrated that these actions were frivolous, and even if they were to do so, it would not negate that the Complainant was not objectively unreasonable in believing that it had a cognizable claim within the statute of limitations.

We further find that there is no basis for an award of attorney fees under the other *Fogerty* factors. Complainant cites *Lotus Dev. Corp. v. Borland Int'l, Inc.*, 140 F.3d 70, 74-75 (1st Cir. 1998) as support, wherein there were economic interests for both parties in the litigation. Complainant's Reply to Resp'ts' Petition at 35. The Commission concurs with Complainant's argument. In this matter, there were important economic interests involved for both parties, and it does not appear that either party had an improper motivation in litigating the case. See *Lotus Dev. Corp.*, 140 F.3d at 74-75. Nor do considerations of compensation or deterrence warrant a fee award in this case. We have already determined that Complainant's claim was not frivolous or objectively unreasonable, and, thus, even if we agreed that deterring frivolous claims was consistent with the purposes of the Shipping Act, an award would not be warranted in this case. And this is not a case involving one party using its superior financial resources to affect the litigation, which some courts have considered in determining whether to award fees. See *Lotus Dev. Corp.*, 140 F.3d at 74. Respondents admit that both parties were evenly matched in terms of size, sophistication, and resources. Resp'ts' Pet. for Attorney Fees at 18.

Based on the foregoing, the Commission is denying Respondents' request for attorney fees.

### III. CONCLUSION

The Commission is denying Complainant's motion to stay the proceeding, Complainant's request for confidential treatment for the Reply to Respondents' Petition Regarding Attorney Fees, Complainant's request for an evidentiary hearing, and Complainant's motion to strike Respondents' Reply to Complainant's Motion for a

Stay. The Commission is granting Complainant's request to correct the record.<sup>13</sup>

The Commission is also denying Respondent's attorney fee petition. Although the Commission finds that the Respondents are *eligible* for fees as the prevailing party, Respondents have failed to establish entitlement based on the factors identified in previous Commission decisions.

THEREFORE, IT IS ORDERED, That Complainant's Request for a Stay, Request for Confidentiality for Reply to Respondents' Petition Regarding Attorney Fees, Request for an Evidentiary Hearing, and Motion to Strike Respondents' Reply to Complainant's Motion for a Stay be DENIED.

IT IS FURTHER ORDERED, That Complainant's September 14, 2017 Status Report and Appendix to Complainant's Status Report be STRICKEN from the record.

IT IS FURTHER ORDERED, That Complainant's Request to correct the record be GRANTED and that the record reflect that the date of the filing of Complainant's second motion for an extension of time was August 15, 2017.

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<sup>13</sup> The Commission is striking Complainant's September 14, 2017 Status Report and appendix as an unauthorized sur-reply.

IT IS FURTHER ORDERED, That Respondents' Request for Attorney Fees be DENIED.

Finally, IT IS FURTHER ORDERED, That this proceeding be discontinued.

By the Commission.

Rachel E. Dickon  
Assistant Secretary